MECHANISMS OF NEO-COLONIALISM

Political Devices

Formal or informal modes of political control of the old form of colonialism are replaced by establishing the political control in varied forms. They may range from nurturing the old economic and political ties, wherever possible, like relationships formed within the Bristish Commonwealth and the French Community, closed currency, preferential trading systems, military alliances and political–military pacts. Other forms of political control include economic, political and cultural missions, labour union delegations, joint military training programmes, military grants and bribes to local ruling classes in the form of economic 'aid'. When these fail, the older policies of force are brought back, for example, the United States instigated counter-revolution in Guatemala in 1954 against the Arbenz Government and the accomplishments following it. The United States extracted an agreement for the return of property expropriated by the 'Arbenz Guzman¶' government (of Guatemala) for the United Fruit Company subsidiary there. Post-1954, the Castillo Armas regime was maintained in office via contracts with the United Fruit, Bond and Share and other monopolies. Therefore, puppet governments serve as important mechanisms of reinforcing neo-colonialism with vigour. [12]

Foreign Aid

Foreign aid is the assistance given to the developing countries to help them speed up their development or meet their basic humanitarian needs. The foreign assistance given take different forms and all serve different purposes. Some are humanitarian, some are political, and yet others try to create advantages for the donors. Most often, aid is used more as a weapon of foreign policy of the donor states or international agencies and always released with certain strings or conditions attached to it. But the truth is that the Third World countries are reeling under the onus of debt-burden which is making them more and more dependent on the developed states. They are suffering from the problem of debt servicing which is a constant drain of whatever surplus is produced by them. They may